

The Rich Report

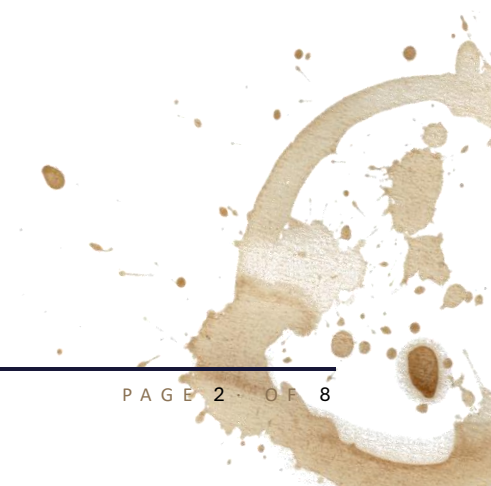
U.S. ECONOMICS NEWS

- ◆ **Trade Deficit:** The U.S. trade deficit narrowed slightly to \$73.3 billion in June, with both imports and exports declining, largely driven by cheaper crude oil prices. A notable structural shift is underway: China has fallen to fourth place among U.S. import sources as Taiwan surged to third, driven by a 66.7% year-over-year rise in imports tied to AI-related hardware demand.³
- ◆ **Services Expansion:** The ISM Non-Manufacturing Index rose to 54.1 in July, marking eight consecutive months above 53.0 — the most sustained run of services expansion since 2022. Growth was broad-based, with 13 of 18 service industries expanding, though the employment sub-index fell to 47.4 as Middle East supply-chain concerns dampened near-term hiring confidence.³
- ◆ **Services Inflation:** The ISM Services prices paid index climbed to 70.3 in July, breaching 70.0 for the fourth time in five months, reflecting persistent input cost pressures linked to energy prices from the Iran conflict. Analysts note that M2 money supply growth has remained slow for over three years, suggesting these price pressures may be supply-driven rather than indicative of broad monetary inflation.³
- ◆ **Tariff Refunds:** Following the Supreme Court's February 2026 ruling that IEEPA-based tariffs were unlawful, the CBP's new CAPE portal had accepted approximately \$128.68 billion in refund declarations by July 31, with roughly \$125 billion already withdrawn from Treasury. These refunds — classified as capital transfer payments for GDP purposes — are estimated to have boosted corporate earnings by up to 5% in 2026.³
- ◆ **Fed Outlook:** The Federal Reserve held rates steady at its July 29 meeting, though three dissenting votes signaled growing internal pressure to hike amid elevated inflation. Fed funds futures markets shifted markedly during the week ended August 7, with the implied probability of a September rate hike falling from 72% to 44% after the weak July payrolls report, as cooler labor data gave the Fed political cover to remain patient.³
- ◆ **Jobs Miss:** Nonfarm payrolls declined 23,000 in July — well below the consensus expectation of +80,000 — and prior months were revised down by a combined 103,000, resulting in a net change of -126,000 including revisions. Analysts attribute much of the weakness to an anomalous 50,000 drop in local government education workers, with private-sector payrolls still rising modestly in construction and manufacturing.³
- ◆ **Wage Divergence:** Average hourly earnings rose just 0.1% in July and 3.2% year-over-year, while unit labor costs grew only 1.4% annually — both below the Fed's 2% inflation target and reducing pressure for near-term rate hikes. Notably, 12-month productivity growth of 2.2% exceeds the 50-year trend of 1.8%, suggesting the economy is generating output gains that offset wage cost pressures.³

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DIGITAL ASSETS NEWS

- ◆ **Iran Sanctions:** The U.S. Treasury's Office of Foreign Assets Control (OFAC) sanctioned two Iran-linked cryptocurrency exchanges — Shelbit and Aban Tether — for allegedly facilitating financial flows tied to the Islamic Revolutionary Guard Corps (IRGC). The action, blocking all U.S.-person transactions with the platforms, reflects Washington's escalating effort to close crypto loopholes that enable sanctioned actors to circumvent traditional financial restrictions.⁵
- ◆ **DeFi Shakeout:** More than 100 crypto and decentralized finance projects collapsed, filed for bankruptcy, or vanished in 2026 — victims of tightening regulation, drained liquidity, and unsustainable tokenomics. CoinDesk dubbed it a "dot-com style shakeout," drawing parallels to the 2000–2001 internet bust, suggesting the survivors may emerge as the foundational infrastructure of a leaner, more mature blockchain industry.⁵
- ◆ **Hyperliquid Revenue:** Hyperliquid's gross protocol revenue declined for a fourth consecutive quarter, with Q3 tracking toward ~\$150 million — a 43% drop from its 2025 peak — revealing a widening disconnect between user activity and fee generation. Despite open interest reaching all-time highs, compressed trading volatility and tighter spreads appear to be weighing on revenue per unit of activity, raising questions about long-term monetization efficiency.⁵
- ◆ **Bitcoin Security Consortium:** BlackRock, Coinbase, Fidelity, Galaxy, and Strategy have jointly committed \$15 million to establish the Bitcoin Security Consortium, a collaborative initiative targeting long-term threats to Bitcoin's network integrity. The effort reflects growing institutional concern over vulnerabilities that could emerge as block subsidies decline and transaction fees must sustain miner incentives — a challenge that could fundamentally undermine Bitcoin's proof-of-work security model.⁵



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GEOPOLITICS NEWS

- ◆ **Iran:** Iran signaled that any deal with Oman on Strait of Hormuz shipping would not fully reopen the waterway, insisting the strait remains closed until the US lifts its naval blockade and meets other Iranian demands. Tehran views its control of the strait as its primary negotiating leverage, and is using phased concessions — such as offering partial routing arrangements — to extract further US commitments before agreeing to any comprehensive settlement.¹
- ◆ **Iran/Oman:** Iran and Oman are negotiating a partial Hormuz arrangement under which inbound ships would transit through Iranian-controlled waters and outbound ships through Omani waters, with service fees attached. The deal falls well short of full reopening and the US has stated it will not accept any arrangement that formalizes Iranian control over what Washington considers an international waterway.¹
- ◆ **Israel:** Prime Minister Netanyahu rejected a US-backed 15-point plan under which Hamas would disarm in exchange for Israeli withdrawal from Gaza. Hamas reaffirmed its commitment to the proposal, while the White House deferred comment to the Trump-created Board of Peace, leaving the framework's future uncertain and the Gaza conflict unresolved.¹
- ◆ **Japan:** Japan's new defence white paper frames accelerating military spending not just as a security necessity but as a driver of economic growth, emphasizing startups, dual-use technology, and commercial components in weapons production. The framing aligns with PM Takaichi's broader industrial strategy and anticipates a new national security strategy expected to call for further buildup aimed at deterring a potential Chinese conflict over Taiwan.¹
- ◆ **Japan/US:** Washington and Tokyo conducted a rare joint currency intervention to support the yen, which had weakened to a 40-year low driven by slow Bank of Japan rate hikes and concerns over PM Takaichi's spending plans. While yen weakness benefits exporters and tourists, accelerating inflation on imported goods has made the currency slide politically untenable for Japanese households.¹
- ◆ **United States:** The US Army has exhausted virtually all of its ATACMS and Precision Strike Missile stockpiles during five months of war with Iran, significantly degrading its capacity to deter adversaries including Russia and China. Future large-scale strikes on Iran would likely require riskier piloted bombing missions, and the depletion compounds concerns raised by US intelligence about NATO vulnerability to Russian probing attacks.¹
- ◆ **United States/China:** The US Commerce Department is banning exports of lithium-ion battery scrap and tungsten waste for one year, requiring these critical materials to be sold domestically rather than processed abroad. The rule targets US dependence on Chinese supply chains for defense-critical minerals, as Beijing has already imposed its own export restrictions on tungsten and other strategic materials.¹

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THE GOOD NEWS

- ◆ **Trauma Drones:** Tampa General Hospital launched the U.S.'s first EMS-driven drone program delivering whole blood directly to trauma scenes. Operated by Hillsborough County Fire Rescue, the system covers 70 square miles and delivers blood in under three minutes on average, allowing first responders to begin transfusions on-site — dramatically improving survival odds before patients ever reach the hospital.²
- ◆ **Drone AED:** A drone-delivered defibrillator was successfully used in a real cardiac arrest case in Borås, Sweden, arriving before the ambulance and enabling bystanders to deliver a life-saving shock. The system, run by Everdrone, deploys automatically alongside ambulance dispatch and lowers the AED via winch — addressing the critical first minutes when survival rates drop roughly 10% per minute without defibrillation.²
- ◆ **Space Internet:** SpaceX launched three more of AST SpaceMobile's BlueBird satellites, bringing the constellation to 13 in low Earth orbit. Once operational, BlueBird will deliver broadband internet directly to unmodified smartphones — no special hardware required — potentially connecting billions of people in remote or underserved regions who currently lack reliable internet access.²
- ◆ **Plastic to Hydrogen:** UCLA and Ewha Womans University researchers developed a chemical process converting unsorted mixed plastics directly into hydrogen fuel with over 90% purity, while locking CO₂ away as solid mineral rather than releasing it. With only 9% of plastic currently recycled globally, this single-reactor approach could transform landfill waste into clean energy at scale.²
- ◆ **Cheap Green Hydrogen:** Startup Terraform demonstrated solar-powered hydrogen production at under \$2/kg — with a roadmap to below \$1/kg — using an electrolyzer costing well under \$100/kW that runs directly off solar without expensive battery backup systems. Green hydrogen is widely seen as critical for decarbonizing heavy industry and transportation.²
- ◆ **Battery Boom:** U.S. utility-scale battery storage grew at 70% annually over the past three years, reaching nearly 52 GW by mid-2026. With operators planning an additional 54 GW through 2028, grid-scale storage is rapidly solving renewables' intermittency problem — making wind and solar power reliable around the clock and accelerating the broader clean energy transition.²

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DIVIDEND PORTFOLIO NEWS

- ◆ **ATO:** Reported fiscal Q3 EPS of \$7.33 and reaffirmed full-year guidance of \$8.40–\$8.50, targeting \$4.2B in capex as APT spreads narrow. Also declared a \$1.00 quarterly dividend.⁴
- ◆ **CAT:** Delivered a record Q2, with Non-GAAP EPS of \$8.17 (beating by \$1.97) and revenue of \$20.5B (beating by \$1.3B), driven partly by data center demand. North American revenue jumped 37%. Management projects mid- to high-teens sales growth for full-year 2026 with backlog reaching \$72B.⁴
- ◆ **GD:** Declared a \$1.59 quarterly dividend and added company president Danny Deep to its board of directors.⁴
- ◆ **LMT:** Pentagon pressed defense contractors to accelerate weapons production amid reported U.S. missile stockpile concerns following the Iran campaign. Lockheed demonstrated AI-powered submarine detection sonar, advanced its next-generation interceptor program, secured a scandium supply deal with NioCorp, and is actively sourcing critical minerals domestically as Chinese export restrictions tighten.⁴
- ◆ **NEE:** Virginia's governor announced plans to intervene in NextEra's proposed merger with Dominion Energy, introducing a meaningful regulatory hurdle for the deal.⁴
- ◆ **NTR:** Declared a \$0.55 quarterly dividend. Q2 Non-GAAP EPS of \$2.61 missed estimates by \$0.11, though revenue of \$10.81B beat by \$420M.⁴
- ◆ **PCAR:** Class 8 truck orders rose in July, with EPA regulatory revisions beginning to factor into fleet purchasing decisions — a modest positive for Paccar's order outlook.⁴
- ◆ **STLD:** Named Mark Wagler as incoming CEO, with founder Mark Millett transitioning to Executive Chairman — a significant leadership change at one of the largest U.S. steel producers.⁴

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GROWTH PORTFOLIO NEWS

- ◆ **AMD:** Reported Q2 Non-GAAP EPS of \$1.66 (beat by \$0.05) and revenue of \$11.54B (beat by \$230M), with data center revenue more than doubling Y/Y. Q3 guidance of ~\$13B disappointed some investors, sending shares lower post-earnings despite Wall Street remaining broadly positive.⁴
- ◆ **EIX:** A Los Angeles County report concluded that a SoCal Edison electric tower sparked the Eaton Fire, a significant legal and financial liability development that could expose Edison International to billions in wildfire-related claims.⁴
- ◆ **FCX:** Copper hit a new record above \$14K/ton in London, driven by Congo's reported ban on copper exports and rising U.S. stockpiles ahead of tariff decisions — a direct tailwind for Freeport.⁴
- ◆ **HOOD:** Robinhood launched crypto trading in the UK this week, expanding its international footprint.⁴
- ◆ **HRMY:** Harmony Biosciences beat both top- and bottom-line Q2 estimates and reaffirmed its FY26 net revenue outlook of \$1.0B–\$1.04B. Management highlighted approaching data catalysts for BP-205 over the next six months as a key pipeline driver.⁴
- ◆ **HUT:** Hut 8 reported Q2 earnings and revenue that missed estimates (EPS -\$1.27, missing by \$0.63; revenue \$74.93M, missing by \$5.04M), reflecting costs from its ongoing infrastructure buildout. However, management outlined an 8.7 GW development pipeline, with the Beacon Point lease alone targeting \$9.8B in base term value — signaling aggressive long-term capacity expansion.⁴
- ◆ **MARA:** Reported Q2 EPS of -\$1.60 and revenue of \$174.9M, missing estimates by \$34.72M, driven by decreased fair value of Bitcoin holdings. Despite the miss, management targets at least two new power leases before year-end.⁴
- ◆ **MRVL:** Marvell surged after unveiling new products in its AI memory infrastructure portfolio.⁴
- ◆ **NVDA:** Nvidia is reportedly working with Goldman Sachs and Blackstone on a \$500B AI financing initiative, and separately eyeing a ~\$3B investment in a Blackstone-backed power firm. SpaceX and Nvidia also expanded their AI satellite partnership.⁴
- ◆ **OKE:** ONEOK hiked full-year guidance after record NGL volumes drove Q2 earnings growth, with the 2026 adjusted EBITDA midpoint rising to \$8.35B.⁴
- ◆ **VST:** Vistra reported Q2 results and set 2026 adjusted EBITDA guidance of \$6.8B–\$7.6B while committing up to \$1B to the Helix energy storage partnership.⁴

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SUMMARY

In regard to the United States Economy, the labor market sent mixed signals as nonfarm payrolls fell 23,000 in July — far below expectations — while wage growth held at 3.2% year-over-year. The Fed held rates steady despite three dissenting votes, with markets sharply reducing the probability of a September hike after the weak jobs report. Services activity expanded for an eighth consecutive month, though input cost pressures remain elevated amid energy-related supply concerns.

In the world of digital assets, regulators sanctioned two Iran-linked exchanges for circumventing financial restrictions, underscoring Washington's intensifying scrutiny of crypto's role in sanctions evasion. Over 100 DeFi projects collapsed in what analysts compare to the dot-com shakeout, suggesting the industry is consolidating around more durable survivors. Major financial institutions jointly funded a Bitcoin Security Consortium to address long-term network vulnerabilities as block subsidies continue to decline.

Recently around the globe, Iran's partial Hormuz negotiation with Oman fell well short of full reopening, as Tehran uses the strait as leverage against U.S. demands. Israel rejected a U.S.-backed Gaza disarmament framework, leaving the conflict unresolved. Japan escalated defense spending with an industrial-growth framing ahead of a new national security strategy, while U.S. precision missile stockpile depletion raised concerns about deterrence capacity across multiple theaters.

For the good news, medical innovation took center stage as Tampa General Hospital launched the first EMS-driven drone program delivering whole blood to trauma scenes in under three minutes, while a drone-delivered defibrillator saved a cardiac arrest patient in Sweden before an ambulance arrived. Researchers also converted mixed plastics into hydrogen fuel at over 90% purity, and a startup demonstrated solar-powered hydrogen production approaching \$1 per kilogram — both potential breakthroughs for clean energy at scale.

In the news for the dividend portfolio, Caterpillar posted a record quarter with earnings well above expectations and a \$72 billion backlog, projecting mid- to high-teens sales growth for the full year. Lockheed Martin benefited from Pentagon urgency around restocking missile inventories. Atmos Energy reaffirmed full-year guidance and declared its quarterly dividend, while leadership changes at Steel Dynamics and regulatory headwinds facing NextEra's Dominion merger were also notable developments.

And, for the growth portfolio, TSMC reported June sales up 45% year-over-year with advanced node production ramping ahead of schedule, while Marvell and AMD surged on strong data center results and new AI product announcements. Copper hit record highs above \$14,000 per ton, directly benefiting Freeport-McMoRan. Nvidia remained central to the AI ecosystem through major financing and partnership developments, and ONEOK raised full-year guidance after record natural gas liquids volumes.

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RESOURCES

- ◆ Research accumulated from <https://www.patreon.com/cw/PeterZeihan>, <https://x.com/>, and <https://seekingalpha.com/>
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